that these expense ratios are charged based on the total amount of money you have invested in your portfolio.

Lower expenses also means larger earnings. You might look at those expense percentages and think, well, it's only 1%. However, the differences in fees can really add up. To put it in real numbers, if you had $10,000 invested in a mutual fund with a 1% expense ratio, you'd be charged $100 in expenses for the year. By contrast, if you had that $10,000 in an index fund with a 0.07% expense ratio, you'd only pay $7. As your portfolio value grows more and more, the differences in expenses stack up as well. Imagine once you have $100,000 invested—it would be painful to pay $1,000 in fees that year instead of just $70! Plus, every extra dollar paid in fees is a dollar that can't compound for you over time. So, expenses can be a big deal.

Index funds have solid historical returns. Historical data show that when index funds and actively managed funds are compared, index funds perform better over 80% of the time. And this is despite mutual funds and their managers working hard to beat the performance of the stock market indices. In fact, in a report from CNBC, after 10 years, 85% of large-cap mutual funds had underperformed the S&P 500 index, and after 15 years, nearly 92% were trailing the S&P 500 index.[7] Again, this better performance on average translates into better returns for you as an investor. (Also, better performance for lower fees? Sign me up.)

Index funds offer great diversification. Because index funds are made up of hundreds or even thousands of stocks and bonds (often many more than actively managed funds), your investment is very broadly diversified. This diversification helps to reduce your risk, especially during times of market volatility.

Index funds make taxes easier to manage. Whenever securities are bought or sold in the stock market, taxable transactions are created. This happens quite often with actively managed mutual funds. With index funds, trades do not happen as often, which means fewer taxable transactions. If you sell any investments on your own, you'll need to pay taxes on any profits you earned.